today into the formal financial system. Those customers that are already being served will be spoiled for choice.

For the service provider, even though greater competition will tend to reduce spreads, new customers and new needs will increase volumes. Moreover, risk and cost reduction through information technology and risk management techniques will tend to increase effective risk-adjusted spreads. In sum then, despite increased competition, profitability can increase. The comparative advantage of banks may lie in their access to lower cost deposit financing, the data they have on customers, the reach of their network, their ability to manage and warehouse risks, and their ability to access liquidity from the central bank. These should then be the basis for the products they focus on.

Perhaps a couple of examples would be useful. India will have enormous project financing needs in the coming days. Even though bankers are very risk averse today, and few projects are coming up for financing, this will change soon. What is in the pipeline is truly enormous – airports, railway lines, power plants, roads, manufacturing plants, etc. Bankers will remember the period of irrational exuberance in 2007-08 when they lent without asking too many questions. I am hopeful that this time will be different.

Here are ways it can be different and risks lowered. First, significantly more in-house expertise can be brought to project evaluation, including understanding demand projections for the project's output, likely competition, and the expertise and reliability of the promoter. Bankers will have to develop industry knowledge in key areas since consultants can be biased.

Second, real risks have to be mitigated where possible, and shared where not. Real risk mitigation requires ensuring that key permissions for land acquisition and construction are in place upfront, while key